

Phone and Newton

Then came the PowerBooks, in 1991, which proved to be another successful product in Apple's line-up. Apple also had a new type of product in the pipeline, the Newton. Apple called it a Personal Digital Assistant (PDA). Sculley spearheaded the Newton project and it was launched in August, 1993. However, the Newton flopped because it had poor handwriting recognition capabilities and was ahead of its time. Though the Newton did not help Apple, it gave birth to an entire new industry, which Palm catered to after a few years and established themselves as the major player in the PDA market.

Though Apple had seen some very good times under Sculley's reign, it was clear that he was not the ideal CEO for Apple because he had little idea about the computer industry. Sculley was removed from the position of CEO and offered the position of chairman of the board. He resigned from his post of the chairman of Apple's board of directors after some time. Michael Spindler was the new CEO.

Apple announced a new line of computers called Power Macintosh in 1994, the first Macs that used the PowerPC processor—a very fast processor developed by the joint effort of Motorola and IBM. The PowerPC processor was better than the best Intel chip in the market, and this made the Power Macs the fastest computers in the market. He also licensed the Mac operating system to various companies, Power Computing being one of them. It was a disaster in the making. Power Computing started offering cheaper computers than the Macintosh line and dragged down Mac sales. Apple earned a measly \$50 for every computer Power Computing sold. There was nothing in the deal for Apple.

The downward spiral continued. Apple kept losing customers and sales. Then Microsoft came out with Windows 95 in, well, 1995, and it had a lot of features of the Mac operating system, though implemented in a somewhat counter-intuitive fashion, and lacked the polish of the Mac OS. However, it performed bril-